

The Quarter Turns

S&P 500 -0.19% as Q3 opens with a sharp rotation beneath a quiet tape. ADP payrolls miss at 98K. Warsh holds the line at Sintra. Bitcoin reclaims \$60K.

THE SESSION

The third quarter opened with a quiet index and a loud tape beneath it. The S&P 500 slipped 0.19% to 7,485, the Dow was essentially unchanged at -0.03%, and the Nasdaq gave back 0.64% — modest prints that concealed one of the sharper single-session rotations in months. The chip cohort that carried the best quarter since 2020 handed back a meaningful piece of its two-day surge, while the year's most punished corners — crypto-adjacent names chief among them — caught a strong bid. Breadth ran positive for much of the day even as the cap-weighted indexes drifted lower.

The macro calendar delivered its first read of the second half. ADP private payrolls rose just 98,000 in June, below the roughly 110,000 consensus and down from 122,000 in May, with nearly half the gains concentrated in education and health services. Treasury yields, sharply higher early, round-tripped after the print — the two-year finished near flat at 4.15%. ISM Manufacturing came in at 53.3, a sixth consecutive month of expansion but an easing from May's 54.0, with input prices still elevated. Fed Chair Warsh, making his first international appearance at the ECB's Sintra forum, declined to offer forward guidance, said the Fed is "in the price stability business," noted that labor markets are steady and inflation risks have come down, and previewed a "good family fight" at the July FOMC. Markets continue to price tightening rather than easing into year-end.

Trade policy added a second layer. The administration reportedly declined to extend the USMCA in its current form, opting to pursue separate arrangements with Canada and Mexico, and reports circulated of a push for a 15–20% minimum tariff on European goods. Tariff-exposed industrials absorbed the news poorly. In technology, a report that Meta is developing a cloud business to sell excess AI compute pressured AI-infrastructure names broadly — the question of whether hyperscaler capacity is

becoming supply rather than demand landed on a cohort priced for uninterrupted buildout. Meanwhile the crypto complex, coming off its worst month on record for spot Bitcoin ETF outflows at roughly \$4.5 billion in June, finally found its footing: Bitcoin touched below \$58,000 overnight and reclaimed the \$60,000 level, up 2.3% on the day.

The morning's open question was whether the two-session chip extension would hold through the Warsh-ISM window or fade into month-open profit-taking. It faded, decisively — and at the same time the digital-sleeve divergence that had been running against the portfolio inverted in its favor. Leadership rotated; the ownership case did not.

IOWN Tactical: A rotation this sharp inside a flat tape changes the leadership question without changing the ownership answer. We own both sides of the handoff — the chip franchises taking a breath and the laggards finding a bid. No tactical thresholds are in play.

IOWN HOLDINGS: NOTABLE MOVERS

WINNERS

COIN +8.93% GROWTH PORTFOLIO

Rallied with the crypto complex as Bitcoin reclaimed \$60,000 after touching a 21-month low below \$58,000 overnight. June's roughly \$4.5 billion in spot Bitcoin ETF outflows — the worst month on record — left positioning deeply washed out; the soft ADP print and a round-trip in yields gave the group room to bounce.

HOOD +8.35% GROWTH PORTFOLIO

Moved in tandem with the crypto recovery and the day's financials leadership, recovering ground as the rotation into 2026's laggards gathered pace at the quarter turn.

ADP +5.19% DIVIDEND STRATEGY

Extended Monday's advance as the quarter-open rotation favored beaten-down franchises. The company's own June employment report showed hiring slowing to 98,000, but the stock trades on the durability of its payroll and HCM franchise — and after a difficult stretch, the valuation had reset to levels buyers found attractive.

FTNT +3.49% GROWTH PORTFOLIO

Firmed with the broader rotation out of semiconductors and into software and 2026 laggards as the new quarter opened.

VLO +3.46% DIVIDEND STRATEGY

Refiners firmed as crude eased on constructive U.S.-Iran mediation in Doha — lower feedstock costs with product demand intact is a favorable margin setup for the refining complex.

GD +2.43% DIVIDEND STRATEGY

Defense extended its bid — LMT added 2.29% alongside — as the multiyear procurement backdrop continued to support the sleeve independent of the day's rotation.

DECLINERS

LRCX -9.63%

DIVIDEND STRATEGY

Sharpest giveback in the chip-tool complex after Tuesday's Korea capex-driven surge, with analyst commentary flagging shares as fully valued following the fresh AI demand news. Quarter-turn profit-taking hit the group that led the first half.

MRVL -8.67%

GROWTH PORTFOLIO

Reversed most of Tuesday's 7.25% advance as the semiconductor cohort absorbed profit-taking and the Meta excess-compute report raised questions about the pace of AI-infrastructure demand.

HUT -8.36%

GROWTH PORTFOLIO

Bitcoin miners turned AI-infrastructure providers fell across the board — RIOT, IREN, and CIFR declined alongside — as the Meta cloud-compute report pressured the AI-hosting thesis even as spot Bitcoin itself bounced.

AMD -7.03%

GROWTH PORTFOLIO

Gave back Tuesday's 7.68% gain in full. Wall Street continues to raise price targets on the name, but a stock that led the best quarter since 2020 was first in line for month-open profit-taking.

CAT -6.90%

DIVIDEND STRATEGY

Reversed Tuesday's capex-driven bid as trade headlines cut against it: the administration reportedly declined to renew the USMCA in its current form, and reports of a 15–20% minimum EU tariff push circulated. CAT carries among the largest tariff cost exposures in the industrial complex, with USMCA compliance central to its mitigation playbook.

TSM -6.72%

GROWTH PORTFOLIO

Retraced Tuesday's 4.94% advance and more as the semiconductor complex bore the brunt of the rotation out of the first half's leadership.

HOLDINGS NEWS

ABT +1.54% — Baird initiates at Outperform. Baird started coverage of Abbott at Outperform, citing the product pipeline as a driver of growth ahead. Shares firmed against a soft healthcare tape, a constructive signal for a franchise the Dividend Strategy owns for exactly that pipeline durability.

Digital Asset ETFs — the sleeve turned. IBIT added 2.13% to \$34.00 and ETHA gained 2.52% to \$12.19 as Bitcoin reclaimed \$60,000. One session does not repair a difficult June, but the divergence between the digital sleeve and the equity tape that persisted through quarter-end inverted today — in the portfolio's favor.

PORTFOLIO PERFORMANCE

DIVIDEND STRATEGY

X TRAIL

-0.45%

vs. DVY +0.40% | SPY -0.13%

GROWTH PORTFOLIO

X TRAIL

-2.37%

vs. IUSG -0.41%

YEAR-TO-DATE

Dividend +14.89% vs DVY +12.93% / SPY +9.93%

Growth +19.47% vs IUSG +11.80%

The Dividend Strategy gave back 0.45% against DVY's +0.40% and SPY's -0.13% — CAT and LRCX, two of the sleeve's larger industrial and semiconductor positions, drove the day's gap. The Growth Portfolio's -2.37% against IUSG's -0.41% reflects the same arithmetic: the portfolio's semiconductor concentration, which powered the first half, absorbed the rotation. Year-to-date the picture remains firmly intact — Dividend +14.89% vs. DVY +12.93% and SPY +9.93%; Growth +19.47% vs. IUSG +11.80%. Days like this are the cost of owning what led; the year-to-date spread is the compensation.